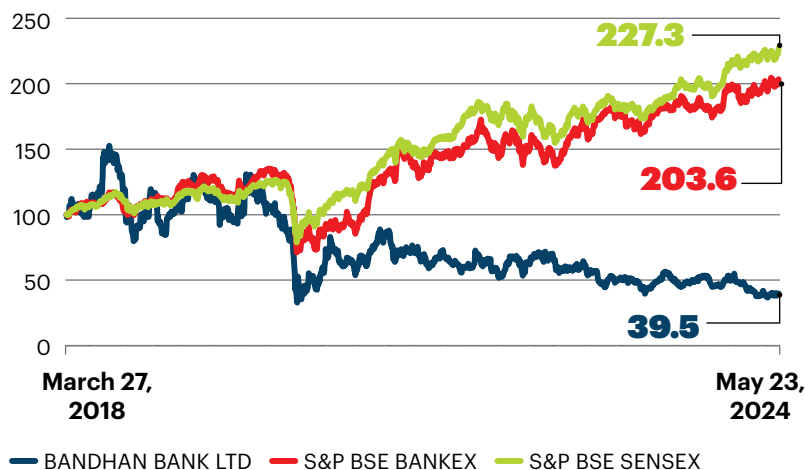


Stock Price Crash

- The stock price is down 74% from its all-time high and 50% from IPO price
- Lower valuations to increase equity dilution going forward



NOTE DATA HAS BEEN INDEXED TO 100; BANDHAN BANK GOT LISTED ON MARCH 27, 2018 **SOURCE** ACE EQUITY

with a mandate to drive Bandhan towards sustained growth and success while maintaining a strong focus on customer satisfaction, regulatory compliance, and operational efficiency. “Some of my key responsibilities are enhancing business opportunities, bringing in innovation and digital transformation, driving revenue growth and managing risk at the same time,” says Babbar, who spent a large part of his career at HDFC Bank.

With Ghosh set to retire on July 9, the bank is ready with a comprehensive plan for the next three years, involving all business units. Ghosh, along with the new team including CFO Rajeev Mantri, has ensured that the strategy focusses on increasing the share of secured assets while maintaining a balance between portfolio quality and returns. Currently, the bank’s portfolio is 57.4% unsecured loans and 42.6%



“We will continue to grow the microfinance business, but we will grow the secured portion of the book faster. So, both segments will grow, but the mix will keep changing”

RAJEEV MANTRI

CHIEF FINANCIAL OFFICER,
BANDHAN BANK

secured loans. The plan is to achieve a 50:50 ratio by FY26. Atul Parakh, CEO of Bigul, the digital investment platform of Bonanza Portfolio Ltd, says that effective execution and risk management will be key to maintaining profitability while serving core microfinance customers and exploring new segments. “Overall, the diversification strategy is prudent but requires careful implementation to leverage Bandhan’s microfinance expertise while expanding sustainably,” he says.

Mantri, a former CFO of Citi India, explains that the bank will continue to grow at 18%. The microfinance segment will grow at a slightly lower rate of 14-15%; this means that the other segments (housing, two-wheeler, auto, commercial vehicle, and gold loans) will need to grow faster to achieve the overall growth target. “We have built our capability and knowledge around specific industries where we can deepen our relationships with customers. By doing so, we will acquire corporate salary accounts, generate trade and other fee income, and attract low-cost deposits,” says Kesh, who has had stints at ICICI Bank, HDFC Bank, YES Bank, and Axis Bank.

The bank has diversified its book to include commercial banking (SME), corporate banking, housing finance including higher-yielding affordable housing, commercial vehicle loans, car loans, two-wheeler loans, four-wheeler loans, gold loans, etc. It aims to offer products for the affluent like priority cards and lounge access, besides salary accounts. In the corporate vertical, it is targeting transactional banking for fee income.

It has also overhauled its credit underwriting processes. For instance, it has introduced the concept of a cooling-off period. If a customer’s account becomes NPA, there is a system-enforced 90-day